

[Rs. 200/- Non-Judicial Stamp Paper]

Licensing Agreement

This Licensing Agreement ("Agreement") is made and entered into as of 15th of January ("Effective Date"), by and between:

Heritage Textiles Pvt. Ltd. (hereinafter referred to as "**Licensor**"), a company incorporated under the Companies Act, 2013 and having its registered office at HT Pvt. Ltd Building , Tank Road, Jaipur, Rajasthan, India;

AND

LuxeHome International (hereinafter referred to as "**Licensee**"), a company incorporated under the laws of France, having its principal place of business at 16 Rue de Paris, Paris, France.

The "Licensor" and the "Licensee" shall be individually referred to as "Party" and collectively referred to as "Parties" under this Agreement.

RECITALS

A. WHEREAS, Heritage Textiles Pvt. Ltd. ("Licensor") is a renowned entity engaged in the creation and development of unique designs inspired by traditional Indian art forms, including but not limited to Warli, Pattachitra, and Ajrakh, which are protected under applicable copyright laws and constitute the subject matter of this Agreement (the "Designs");

B. WHEREAS, LuxeHome International ("Licensee") is a distinguished global home décor and furnishings brand that desires to obtain an exclusive license to incorporate the Designs into its luxury home décor collection, including but not limited to curtains, cushions, rugs, and wallpapers, for distribution and sale in the agreed-upon territories;

C. WHEREAS, the Licensor acknowledges the potential benefits of global exposure and the promotion of traditional Indian craftsmanship through this collaboration and is willing to grant the Licensee an **exclusive, limited, and non-transferable license** to use the Designs under the terms and conditions set forth herein;

NOW, THEREFORE, in consideration of the mutual covenants, representations, and warranties contained in this Agreement, and for other good and valuable consideration, the receipt and sufficiency of which are hereby acknowledged, the Parties agree as follows:

1. Definitions:

1.1 “Agreement” shall mean this License Agreement, including all annexures attached hereto and signed by the Parties.

1.2 “Confidential Information” shall mean all non-public, proprietary, or sensitive information, whether oral, written, or electronic, disclosed by one Party (the "Disclosing Party") to the other Party (the "Receiving Party") in connection with the Designs or this Agreement. Confidential Information includes, but is not limited to, business strategies, technical data, research, designs, drawings, concepts, trade secrets, processes, product plans, financial data, pricing strategies, marketing plans, customer lists, supplier details, software, and any other information marked or identified as ‘confidential’ or that by its nature should reasonably be understood to be confidential.

1.3 “Designs” shall refer to the collection of 10 original patterns listed and described in Annexure A.

1.4 “Licensed Products” shall mean luxury home décor items, including but not limited to curtains, cushions, rugs, and wallpapers, utilizing the Designs.

1.5 “Royalty” shall mean the percentage of net sales revenue payable to the Licensor as consideration for the license.

1.6 “Territory” shall mean Europe, North America, and Australia.

2. GRANT OF LICENSE

2.1 Exclusive License Grant: Subject to the terms and conditions of this Agreement, the Licensor grants to the Licensee an irrevocable, exclusive, non-transferable, and royalty-bearing license to use a curated collection of ten (10) original designs (“Designs”) inspired by traditional Indian art forms, including but not limited to Warli, Pattachitra, and Ajrakh. The Designs, which are intellectual property protected under applicable copyright and moral rights laws, are described in Annexure A, including detailed illustrations, dimensions, cultural significance, and sample representations. The Licensee acknowledges and agrees that all ownership, title, and rights in and to the Designs shall remain with the Licensor, and no rights beyond those expressly granted under this Agreement shall be conferred upon the Licensee.

2.2 Scope of License: The license granted under this Agreement is exclusive for the commercial use of the Designs within the designated territory, comprising Europe, North America, and Australia (“Territory”). The Licensee shall not manufacture, distribute, or sell any product incorporating the Designs outside the Territory without obtaining the prior written approval of the Licensor. The Designs may be used exclusively for luxury home décor items, including but not limited to curtains, cushions, rugs, and wallpapers. Any use beyond this defined scope, including applications in apparel, branding, or any other commercial field, shall require prior written approval from the Licensor.

2.3 Restrictions on Use: The Licensee shall not alter, modify, adapt, or create derivative works based on the Designs without the Licensor’s prior written consent. Any approved modifications shall remain the sole property of the Licensor. The Licensee shall ensure that the Designs are not distorted, misrepresented, or used in a manner that diminishes their cultural significance or commercial value. The Licensee is prohibited from sublicensing any rights under this Agreement without the prior written approval of the Licensor. If such approval is granted, the Licensee shall be responsible for ensuring that the sub-licensee strictly adheres to all terms of this Agreement, including but not limited to confidentiality obligations, quality control measures, and branding requirements as set forth by the Licensor.

2.4 Licensor's Retained Rights: Notwithstanding the exclusive license granted herein, the Licensor retains the right to use the Designs for non-commercial purposes, including but not limited to cultural exhibitions, educational initiatives, promotional materials, and public awareness campaigns, provided such use does not involve the sale or distribution of products incorporating the Designs.

2.5 Reporting and Compliance: The Licensee shall provide the Licensor with periodic reports detailing the commercialization and use of the Designs, including but not limited to sales performance, marketing activities, and any challenges encountered. The Licensor shall have the right to conduct an annual audit of the Licensee's records, upon reasonable notice, to verify compliance with the terms of this Agreement. In the event of any material non-compliance, the Licensee shall bear the costs of the audit and take necessary corrective measures within a specified period as determined by the Licensor.

2.6 Termination and Remedies: Any unauthorized use, sublicensing, or reproduction of the Designs shall constitute a material breach of this Agreement, entitling the Licensor to terminate this Agreement with immediate effect. Upon termination, the Licensee shall cease all use, production, and distribution of products incorporating the Designs and shall provide a written certification of compliance. The Licensor shall be entitled to seek injunctive relief, damages, and any other legal remedies available to enforce its rights under this Agreement.

3. TERM AND TERMINATION

3.1 Term. This Agreement shall become effective as of the Effective Date and shall remain in force for a period of five (5) years, unless earlier terminated in accordance with this Article. The Agreement may be renewed upon mutual written agreement of the Parties, provided that such renewal is negotiated and finalized no later than ninety (90) days prior to the expiration of the initial term. If the Agreement is not renewed, it shall automatically terminate upon the expiration of the term without further obligation of either Party, except as otherwise provided herein.

3.2 Termination Events. This Agreement may be terminated by either Party under the following circumstances:

- (a) A material breach of any term or condition of this Agreement by the other Party, which remains uncured for a period of thirty (30) days following written notice specifying the breach. The non-breaching Party may, at its discretion, suspend certain rights under this Agreement during the cure period. If the breach remains unremedied, the non-breaching Party shall have the right to terminate this Agreement with immediate effect and seek any available remedies under law or equity.
- (b) The insolvency, bankruptcy, liquidation, or dissolution of either Party, or the initiation of any proceeding seeking such relief, which materially affects the ability of the affected Party to fulfill its obligations under this Agreement.
- (c) Mutual written agreement of the Parties to terminate this Agreement, specifying the terms and conditions of such termination.

3.3 Obligations Upon Termination. Upon termination or expiration of this Agreement, the Licensee shall:

- (a) Immediately cease all production, marketing, distribution, and sale of any products incorporating the Designs.
- (b) Within thirty (30) days of termination, return to the Licensor or securely destroy all materials, data, documents, and derivatives containing the Designs, including digital copies, in strict compliance with the Licensor's written instructions. The Licensee shall provide a written certification of such destruction or return, as required by the Licensor.
- (c) Dispose of any remaining inventory only with the prior written approval of the Licensor and under mutually agreed terms.

3.4 Survival. Any provisions of this Agreement that by their nature are intended to survive termination, including but not limited to confidentiality obligations, intellectual property rights, indemnification, and dispute resolution, shall remain in full force and effect beyond the termination or expiration of this Agreement.

4. FINANCIAL CONSIDERATIONS

4.1 Upfront Fee: The Licensee shall pay a non-refundable upfront license fee of **€200,000** within thirty (30) days of the Effective Date or the execution of this Agreement, whichever is earlier. This payment constitutes consideration for the grant of exclusive licensing rights to the Designs and shall not be subject to any deductions or adjustments.

4.2 Royalty Payments: The Licensee shall pay the Licensor a royalty of **seven percent (7%)** of the net sales revenue generated from the sale of Licensed Products incorporating the Designs. Royalties shall be calculated on a quarterly basis and paid within thirty (30) days of the end of each calendar quarter. Each royalty payment shall be accompanied by a detailed remittance statement, outlining the computation of royalties, net sales revenue, and any permitted deductions.

4.3 Minimum Annual Guarantee: The Licensee guarantees a minimum annual payment of **€100,000**, regardless of actual sales performance. In the event that the total royalties paid within a given year fall short of this guaranteed amount, the Licensee shall remit the shortfall within thirty (30) days of the conclusion of the annual period.

4.4 Payment Mechanism: All payments, including the upfront fee, royalties, and minimum annual guarantee, shall be made in Euros (€) to the Licensor's designated bank account. The Licensee shall ensure that all payments are accompanied by a detailed remittance statement outlining calculations of royalties, applicable deductions, and a reconciliation of payments due.

4.5 Taxes and Deductions: All payments under this Agreement are exclusive of any applicable taxes, duties, or government levies. The Licensee shall be solely responsible for any withholding taxes or other statutory deductions required under applicable laws. The Licensee shall provide the Licensor with official documentation evidencing the deduction and payment of such taxes to the relevant authorities.

4.6 Audit Rights: The Licensor reserves the right to audit the Licensee's financial records, sales reports, and related documentation to ensure compliance with royalty payment obligations. Such audits shall be conducted by the Licensor or an independent auditor appointed by the Licensor at its expense. However, if the audit reveals a discrepancy exceeding five percent (5%) of the reported amounts, the Licensee shall bear the full cost of

the audit and immediately rectify the discrepancy by remitting any outstanding amounts to the Licensor within fifteen (15) days.

4.7 Late Payments: Any delayed payments by the Licensee shall attract interest at a rate of one and a half percent (1.5%) per month, compounded monthly, from the due date until full payment is received. Such interest shall be without prejudice to any other remedies available to the Licensor under this Agreement or applicable law.

4.8 Financial Reporting: The Licensee shall provide quarterly and annual sales reports to the Licensor, detailing net sales revenue, the number of Licensed Products sold, and any deductions applied. These reports shall be certified by the Licensee's authorized financial officer and submitted within fifteen (15) days of the end of each quarter and thirty (30) days of the end of each financial year.

5. CONFIDENTIALITY AND NON-DISCLOSURE

5.1 Obligation of Confidentiality: The Licensee shall safeguard all Confidential Information disclosed by the Licensor and shall not disclose, disseminate, or otherwise make available such information to any third party without the Licensor's prior written consent. The Licensee shall implement and maintain appropriate technical, physical, and administrative safeguards to protect the confidentiality and integrity of the Confidential Information. Access to Confidential Information shall be restricted to authorized personnel only, and such personnel shall be bound by confidentiality obligations at least as stringent as those contained herein. The Licensee shall promptly notify the Licensor in writing upon becoming aware of any unauthorized access, use, or disclosure of Confidential Information and shall cooperate fully in mitigating the effects of such a breach.

5.2 Scope of Confidential Information: The Licensee acknowledges and agrees that all proprietary designs and confidential business information shared by the Licensor, including but not limited to trade secrets, technical data, product specifications, financial information, marketing strategies, and customer lists, constitute Confidential Information. Specifically, LuxeHome shall safeguard all designs and proprietary information provided by Heritage Textiles and shall use such information solely for the purposes set forth in this Agreement.

5.3 Duration of Confidentiality Obligations: The confidentiality obligations set forth herein shall remain in effect throughout the term of this Agreement and for a period of **five (5) years** following its termination or expiration. Notwithstanding the foregoing, any Confidential Information that qualifies as a trade secret under applicable law shall remain subject to confidentiality obligations for so long as such information remains a trade secret.

5.4 Exclusions from Confidentiality: Confidential Information shall not include information that:

- (a) is or becomes publicly available through no breach of this Agreement by the Licensee;
- (b) was lawfully in the possession of the Licensee prior to disclosure by the Licensor, as evidenced by written records;
- (c) is independently developed by the Licensee without reference to the Licensor's Confidential Information;
- (d) is lawfully obtained from a third party without breach of any confidentiality obligation; or
- (e) is required to be disclosed under applicable law, regulation, or court order, provided that the Licensee promptly notifies the Licensor of such requirement and cooperates in seeking a protective order or other remedies to limit the disclosure.

6. Performance Obligations

6.1 Branding and Attribution

The Licensee shall ensure that all Licensed Products prominently bear a label, tag, or other form of branding that credits Heritage Textiles as the creator of the Designs. Such branding shall also acknowledge the cultural heritage and artisanal significance of the Designs. The Licensee shall strictly adhere to the branding and attribution guidelines provided by the Licensor, as set forth in Annexure B.

6.2 Quality Assurance and Approval

The Licensee shall submit product samples to the Licensor for quality assurance and approval prior to initiating mass production. The Licensor reserves the right to reject any samples that do not meet the agreed-upon quality standards or fail to reflect the premium nature of the Designs. In the event of rejection, the Licensee shall make necessary improvements and resubmit the revised samples for approval before proceeding with production.

6.3 Marketing and Promotion

The Licensee shall develop and execute marketing campaigns to promote the Licensed Products, with an emphasis on the cultural heritage and craftsmanship of the Designs. All marketing and promotional materials, including but not limited to advertisements, brochures, and digital content, shall be submitted to the Licensor for review and prior written approval to ensure alignment with the brand values and cultural integrity of Heritage Textiles.

6.4 Compliance with Laws and Industry Standards

The Licensee shall ensure that the manufacture, distribution, and sale of the Licensed Products comply with all applicable laws, regulations, and industry standards in the Territory. Any instance of non-compliance that may adversely impact the reputation of the Licensor shall be rectified by the Licensee immediately upon notice.

6.5 Reporting and Market Analysis

The Licensee shall submit comprehensive reports to the Licensor on a quarterly basis, detailing customer feedback, market reception, sales performance, and any challenges encountered in the market. Such reports shall also include recommendations for improving product appeal and competitiveness.

6.6 Ethical Business Practices

The Licensee shall uphold the highest ethical standards in the production and sale of the Licensed Products. The Licensee shall ensure that all labour practices comply with international labour laws and human rights standards, and that no aspect of the production process involves forced labour, child labour, or any other unethical or unlawful practices.

6.7 Product Quality Inspections

The Licensee shall maintain product quality standards that reflect the premium nature of the Designs. The Licensor reserves the right to inspect the Licensed Products at any stage of production and distribution to ensure compliance with the agreed quality and branding requirements.

7. Regulatory Compliance

7.1 General Compliance

7.1.1 The Licensee shall ensure that all Licensed Products, including but not limited to their manufacturing, distribution, marketing, and sale, comply with all applicable laws, regulations, and industry standards in the licensed territories.

7.1.2 Compliance obligations shall include, but are not limited to, consumer protection laws, health and safety regulations, product labelling requirements, and any other relevant statutory or regulatory provisions governing the Licensed Products.

7.2 Compliance with Foreign Exchange Laws

7.2.1 The Licensee shall fully comply with the provisions of the Foreign Exchange Management Act, 1999 (FEMA) and all applicable rules, regulations, and notifications issued by the Reserve Bank of India (RBI).

7.2.2 Any financial transactions involving foreign exchange, including but not limited to royalty payments and other monetary obligations arising under this Agreement, shall be conducted strictly in accordance with FEMA guidelines.

7.2.3 The Licensee shall ensure that all necessary approvals, filings, and declarations required under FEMA and any other applicable foreign exchange laws are obtained and submitted in a timely manner.

7.3 Compliance with Competition Laws

7.3.1 The Licensee shall ensure that all activities undertaken pursuant to this Agreement comply with the provisions of the Competition Act, 2002 of India, as well as any applicable competition laws in the licensed territories.

7.3.2 The Licensee shall not engage in anti-competitive practices, including but not limited to:

- a) Abuse of a dominant position;
- b) Anti-competitive agreements, including price-fixing, market allocation, bid-rigging, or resale price maintenance; and
- c) Any other unfair trade practices that may contravene applicable competition laws.

7.3.3 Any collaborations, partnerships, or commercial arrangements entered into by the Licensee shall be structured to align with fair trade practices and legal compliance requirements.

7.4 Data Protection and Privacy Compliance

7.4.1 The Licensee shall ensure full compliance with applicable data protection laws, including but not limited to:

- a) The General Data Protection Regulation (GDPR) governing the European Union; and
- b) The Digital Personal Data Protection Act, 2023, or any other enacted equivalent in India.

7.4.2 The Licensee shall implement robust data security and protection measures to prevent unauthorized access, misuse, or breaches of personal data.

7.4.3 The Licensee shall ensure that any collection, processing, storage, and transfer of personal data comply with applicable regulatory frameworks, and shall obtain explicit consent where required.

7.4.4 Any data breaches or unauthorized disclosures shall be reported in accordance with applicable regulatory guidelines, and necessary corrective actions shall be undertaken promptly.

7.5 Environmental Compliance

7.5.1 The Licensee shall comply with all applicable environmental laws and regulations in the licensed territories, including but not limited to:

- a) The Environment (Protection) Act, 1986 of India;
- b) The EU Waste Framework Directive and associated recycling and disposal regulations; and
- c) Any other relevant laws governing environmental protection, sustainability, and waste management.

7.5.2 The Licensee shall adopt environmentally sustainable practices in the manufacturing, packaging, and distribution of the Licensed Products.

7.5.3 Any non-compliance or environmental violations must be reported and rectified without undue delay, and the Licensee shall take appropriate measures to mitigate any environmental harm.

7.6 Import and Export Compliance

7.6.1 The Licensee shall ensure strict adherence to all applicable import and export control laws, trade sanctions, and customs regulations, including but not limited to:

- a) The Customs Act, 1962 of India;
- b) Applicable trade laws in the European Union, North America, and Australia; and
- c) Any restrictions, sanctions, or prohibitions imposed by national or international authorities.

7.6.2 The Licensee shall obtain all required permits, licenses, and regulatory clearances necessary for the lawful cross-border movement of the Licensed Products.

7.7 Ethical Business Practices

7.7.1 The Licensee shall conduct its business operations in accordance with the highest ethical standards and in compliance with all applicable anti-bribery and anti-corruption laws, including but not limited to:

- a) The U.S. Foreign Corrupt Practices Act (FCPA);
- b) The UK Bribery Act, 2010; and
- c) Applicable anti-corruption laws in India and other licensed territories.

7.7.2 The Licensee shall not, directly or indirectly, offer, promise, give, or receive any bribes, kickbacks, or other improper financial or non-financial advantages in connection with any business activity related to this Agreement.

7.7.3 The Licensee shall implement effective internal compliance programs and policies to ensure adherence to ethical business practices.

7.8 Compliance with EU Regulations

7.8.1 Where the Licensed Products are marketed, distributed, or sold in the European Union, the Licensee shall ensure compliance with all applicable EU laws and directives, including but not limited to:

- a) The EU Consumer Rights Directive;
- b) The EU General Product Safety Directive;
- c) The CE Marking Requirements for applicable products; and
- d) The EU Unfair Commercial Practices Directive governing advertising and consumer interactions.

7.8.2 All marketing, promotional, and labelling materials used within the EU shall comply with the requirements of relevant EU regulations and directives.

7.9 Cooperation and Compliance Support

7.9.1 The Licensor shall cooperate with the Licensee to facilitate compliance with applicable legal and regulatory requirements by providing reasonable assistance, including but not limited to:

- a) Required certifications, declarations, and documentation necessary for regulatory approvals;
- b) Technical specifications and compliance-related information necessary for product conformity assessments; and
- c) Any other supporting materials reasonably requested by the Licensee to ensure compliance with the terms of this Agreement.

7.9.2 The Licensee shall be responsible for maintaining complete and accurate records of its compliance efforts and shall furnish such records to the Licensor or relevant regulatory authorities upon reasonable request.

8. Indemnity

8.1 Licensee's Indemnification Obligations

The Licensee shall indemnify, defend, and hold harmless the Licensor, its affiliates, officers, directors, employees, and agents from and against any and all claims, damages, losses, liabilities, costs, and expenses (including reasonable attorney's fees) arising out of or related to:

- (a) The Licensee's unauthorized use, misuse, or alteration of the Licensed Designs;
- (b) Any violation of applicable laws, regulations, or industry standards in the manufacturing, distribution, or marketing of the Licensed Products;
- (c) Claims brought by third parties, including consumers, arising from defects in the Licensed Products, misrepresentations, or false advertising by the Licensee;
- (d) Any breach of confidentiality obligations or other material obligations under this Agreement by the Licensee or its authorized sub-licensees.

8.2 Mutual Indemnification for Intellectual Property Claims

(a) Licensors's Indemnity: The Licensors (Heritage Textiles) shall indemnify and hold harmless the Licensee (LuxeHome) against any third-party claims alleging intellectual property infringement related to the Licensed Designs provided by the Licensors.

(b) Licensee's Indemnity: The Licensee (LuxeHome) shall indemnify and hold harmless the Licensors (Heritage Textiles) against any claims arising from unauthorized use, misuse, or alteration of the Licensed Designs by the Licensee or its sub-licensees.

8.3 Exclusions from Indemnification Obligations

The indemnification obligations under Clause 8.1 and 8.2 shall not apply to any claims, liabilities, or losses arising from:

- (a) The Licensors's gross negligence, will full misconduct, or breach of this Agreement;
- (b) Any modifications to the Licensed Designs made solely by the Licensors without the Licensee's involvement or approval.

9. WARRANTIES

9.1 Licensors's Warranties

The Licensors represents and warrants that:

- (a) It holds all necessary rights, title, and interest in the Licensed Designs to grant the license as outlined in this Agreement;
- (b) The Licensed Designs do not infringe upon the intellectual property rights of any third party;
- (c) The Licensed Designs are original and have been created by or under the authorization of the Licensors;
- (d) The Licensors has not granted, and will not grant during the term of this Agreement, any rights in the Licensed Designs that would conflict with the rights granted to the Licensee under this Agreement.

9.2 Licensee's Warranties

The Licensee represents and warrants that:

- (a) It shall use the Licensed Designs strictly in accordance with the terms and conditions of this Agreement;
- (b) It shall comply with all applicable laws, regulations, and industry standards in the use, manufacturing, marketing, and distribution of the Licensed Products;
- (c) It shall not make any unauthorized alterations, modifications, or derivative works from the Licensed Designs without the prior written approval of the Licensor;
- (d) It shall not engage in any activities that could tarnish, dilute, or otherwise negatively impact the reputation and goodwill associated with the Licensed Designs or the Licensor.

9.3 Disclaimer of Warranties

Except as expressly set forth in this Agreement, neither Party makes any representations or warranties, express or implied, including but not limited to:

- (a) Warranties of merchantability or fitness for a particular purpose;
- (b) Warranties that the use of the Licensed Designs will be error-free or uninterrupted;
- (c) Any warranties arising from course of dealing, trade usage, or practice.

10. LIMITATION OF LIABILITY

10.1 Exclusion of Certain Damages

To the maximum extent permitted by applicable law, the Licensor shall not be liable for any indirect, incidental, consequential, special, or punitive damages, including but not limited to loss of profits, revenue, data, goodwill, or business opportunities, arising out of or related to this Agreement, whether in contract, tort (including negligence), strict liability, or otherwise, even if the Licensor has been advised of the possibility of such damages.

10.2 Limitation of Aggregate Liability

The total aggregate liability of the Licensor under this Agreement, whether arising from contract, tort, negligence, strict liability, or any other legal or equitable theory, shall not exceed the total amount of fees actually received by the Licensor from the Licensee under this Agreement.

10.3 Exclusions from Licensor's Liability

The Licensor shall not be liable for any claims, damages, or losses arising from:

- (a) The Licensee's unauthorized use, modification, or alteration of the Licensed Designs;
- (b) The Licensee's failure to comply with applicable laws, regulations, or industry standards in the licensed territories;
- (c) Any defects, safety issues, or non-compliance in the Licensed Products that are not directly attributable to the Licensed Designs or the Licensor's actions.

10.4 Disclaimer of Warranties

Except as expressly stated in this Agreement, the Licensor makes no warranties, express or implied, including but not limited to:

- (a) Implied warranties of merchantability, fitness for a particular purpose, or non-infringement;
- (b) Any representations that the Licensed Designs will be error-free or suitable for the Licensee's intended use.

All Licensed Designs are provided "as is" to the extent permissible by law.

10.5 Duty to Mitigate Losses

The Licensee shall take all reasonable steps to mitigate any losses, damages, or claims arising out of or related to this Agreement.

11. EXCLUSIVITY AND NON-COMPETE

11.1 Exclusive License

The Licensor grants the Licensee the exclusive right to use the Licensed Designs within the Licensed Territories (Europe, North America, and Australia) for the duration of this Agreement. The Licensor shall not license, sell, or otherwise grant rights to the Licensed Designs to any other entity operating within the Licensed Territories.

11.2 Scope of Use

The Licensee shall use the Licensed Designs solely for luxury home décor products, including but not limited to curtains, cushions, rugs, and wallpapers. Any use beyond the specified product categories requires prior written approval from the Licensor.

11.3 Restriction on Competing Products

The Licensee shall not develop, manufacture, or distribute products that directly compete with the Licensed Products using designs that imitate, replicate, or are substantially similar to the Licensed Designs.

11.4 Intellectual Property Protection

The Licensee shall promptly notify the Licensor of any unauthorized use, infringement, or misappropriation of the Licensed Designs within the Licensed Territories. The Licensor reserves the right to take necessary legal action, with the Licensee's full cooperation, to protect its intellectual property rights.

11.5 Breach and Remedies

Any violation of this Clause shall constitute a material breach of the Agreement, entitling the Licensor to terminate the Agreement and seek damages, injunctive relief, or any other appropriate legal remedies.

12. TERMINATION AND POST-TERMINATION OBLIGATIONS

12.1 Termination

This Agreement may be terminated under the following circumstances:

(a) **Material Breach** – The Licensor may terminate this Agreement if the Licensee materially breaches any term of this Agreement and fails to remedy such breach within thirty (30) days of receiving written notice from the Licensor.

(b) **Insolvency** – Either Party may terminate this Agreement if the other Party becomes insolvent, enters bankruptcy, or is otherwise financially incapable of fulfilling its obligations under this Agreement.

(c) **Mutual Agreement** – This Agreement may be terminated at any time by mutual written consent of both Parties.

12.2 Post-Termination Obligations

Upon termination of this Agreement, the Licensee shall:

- (a) **Cessation of Use** – Immediately cease the production, marketing, and sale of all Licensed Products incorporating the Licensed Designs.
- (b) **Return or Destruction of Materials** – At the Licensor's discretion, return or destroy all physical and digital materials containing the Licensed Designs, including samples, marketing materials, and production tools. The Licensee shall provide a written certification of compliance within thirty (30) days of termination.
- (c) **Settlement of Outstanding Payments** – Settle all outstanding payments, including any due royalties, within thirty (30) days of termination.
- (d) **Inventory Clearance** – Clear any remaining inventory of Licensed Products only with the prior written approval of the Licensor, subject to conditions imposed by the Licensor.

12.3 Survival of Obligations

The termination of this Agreement shall not affect obligations that, by their nature, are intended to survive, including but not limited to confidentiality, indemnity, payment of outstanding amounts, and any other relevant provisions.

13. DISPUTE RESOLUTION MECHANISMS

13.1 Negotiation and Arbitration

- (a) Any dispute, controversy, or claim arising out of or in connection with this Agreement, including its interpretation, performance, breach, or termination, shall first be attempted to be resolved amicably through good-faith negotiations between the Parties.
- (b) If the Parties fail to resolve the dispute through negotiation within thirty (30) days from the date one Party notifies the other of the dispute, the matter shall be referred to arbitration under the rules of the International Chamber of Commerce (ICC).
- (c) The seat of arbitration shall be Paris, France, and the arbitration proceedings shall be conducted in English. The arbitration shall be presided over by a sole arbitrator, appointed in accordance with the ICC rules, who shall be impartial and possess expertise in intellectual property and international licensing agreements.

13.2 Confidentiality

The arbitration proceedings, including all submissions, evidence, and the final award, shall be kept strictly confidential. Neither Party shall disclose such information to any third party without prior written consent, except as required by law or for the enforcement of an arbitral award.

13.3 Interim Relief

Either Party may seek interim or conservatory relief from a court of competent jurisdiction to protect its rights or interests pending the formation of the arbitral tribunal or its final award.

13.4 Costs and Enforcement

(a) The costs of arbitration, including arbitrators' fees, administrative expenses, and legal costs, shall be borne as determined by the arbitral tribunal in its final award.

(b) The arbitral award shall be final and binding on both Parties and enforceable in any court of competent jurisdiction in accordance with the New York Convention on the Recognition and Enforcement of Foreign Arbitral Awards, 1958.

13.5 Governing Law

This Agreement shall be governed by and construed in accordance with Indian law, without regard to its conflict of law principles.

14. Force Majeure

14.1 Suspension of Obligations

Neither Party shall be liable for any failure or delay in performing its obligations under this Agreement due to circumstances beyond its reasonable control, including but not limited to natural disasters, war, terrorism, pandemics, labour strikes, governmental actions, or regulatory changes.

14.2 Notice and Mitigation

The affected Party shall notify the other Party in writing as soon as practicable, detailing the nature and expected duration of the Force Majeure Event. Both Parties shall take reasonable steps to minimize the impact of such an event.

14.3 Termination

If the Force Majeure Event continues for more than ninety (90) days, either Party may terminate this Agreement upon written notice without liability.

IN WITNESS WHEREOF, the parties have executed this Agreement as of the date first written above.

For Heritage Textiles Pvt. Ltd.

For LuxeHome International

Authorized Signatory

Authorized Signatory

Name: [Name]

Name: [Name]

Designation: [Designation]

Designation: [Designation]

Witnesses:

1. Raman Verma

2. Naman Singh

Lawyers in Making.